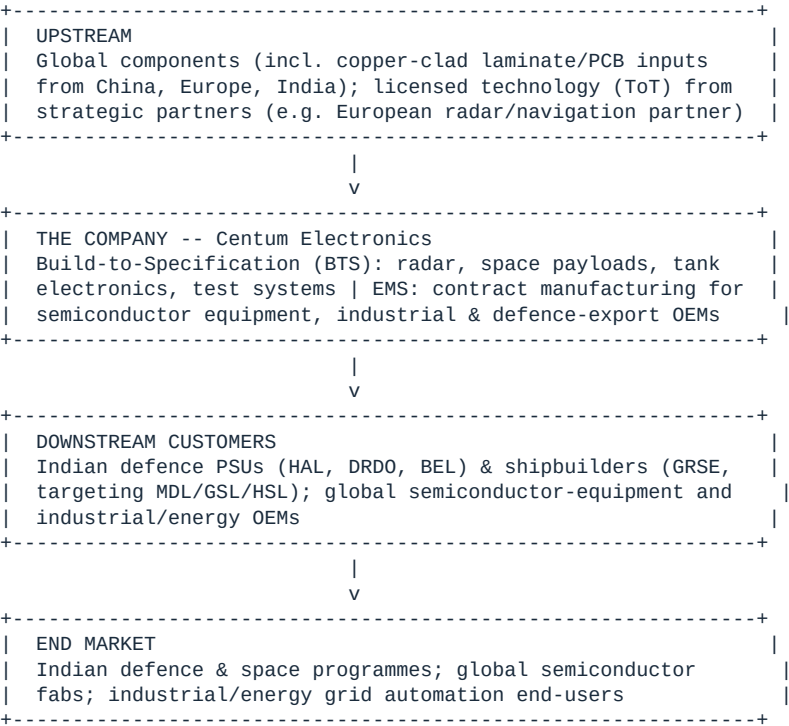


# Centum Electronics

Centum Electronics Limited, founded in 1993 and headquartered in Bengaluru, is one of the largest Electronics System Design and Manufacturing (ESDM) companies in India, providing engineering design, manufacturing, and turnkey electronics solutions for the defence, aerospace, space, industrial, medical, and communications sectors. The company is listed on the BSE (517544) and NSE (CENTUM), with a market capitalization of approximately Rs5,384 crore as of 10 July 2026. FY26 was a pivotal year in which Centum discontinued its Canadian operations and began exiting its loss-making French subsidiary via a court-supervised process, sharpening its focus on its profitable, fast-growing India ESDM business.

## Value Chain Positioning

Centum operates two core standalone business lines: Build-to-Specification (BTS), a higher-margin (~20% EBITDA) business designing and manufacturing custom electronic systems and sub-systems — radar systems, space-based payloads, tank electronics, and test systems — largely for Indian defence PSUs (HAL, DRDO, and in some cases BEL) and the Indian armed forces; and Electronic Manufacturing Services (EMS), a lower-margin (~9-11% EBITDA, but higher ~20-25% ROCE) contract manufacturing business serving semiconductor-equipment OEMs, industrial/energy customers, and defence-export programs on a cost-plus basis. Upstream, Centum procures components globally (including copper-clad laminate for PCBs, sourced from China, Europe, and India depending on end-application) and, on the BTS side, increasingly licenses Transfer-of-Technology from strategic partners (e.g., a European partner for the GRSE air-navigation program) to move up the value chain toward systems and platform-level solutions. Downstream, BTS output goes directly to Indian defence PSUs and shipbuilders (HAL, GRSE, with expansion targeted to MDL/GSL/HSL), while EMS output goes to global semiconductor-capital-equipment OEMs and industrial/energy customers, some of whom are increasingly "indigenizing" production in India. The company's overseas subsidiaries (France, Canada, UK) previously added an ER&D (engineering services) segment and additional EMS capacity, but are being wound down as of FY26.



## Near Term (Next 1 to 2 Quarters)

- **French subsidiary exit progressing, but an earlier "no further impact" assessment did not hold** [On Track]: Centum T&S entered Redressement Judiciaire (court-supervised judicial reorganization) in March 2026; a Lyon court-approved plan (10 June 2026) has MBDA France acquiring the main activities and SII acquiring the Toulouse/Belgium sites. Management now expects the divestment "to be substantially concluded by July 2026." This is on track as a process, but at the Q3 FY26 call management had said "we do not expect any further material financial impact beyond what has already been recognized" — a claim not borne out, since further impairments and operating losses were recognized in Q4 FY26 as France moved into discontinued operations.
- **Canada wind-up commencing** [Pending]: Canadian operations were discontinued in Q4 FY26; formal wind-up proceedings are set to commence in Q1 FY27. "In Canada, operations were discontinued during Q4 FY26 and the wind-up process is under progress."
- **FY27 standalone growth and margin targets reiterated after a margin miss** [Pending]: FY26 standalone EBITDA margin came in at 12.42%, below management's guided 13-15% range ("we are slightly below that for the full year, basically because of the product mix in the EMS business"). Management reiterated the same 13-15% margin target and a 25-30% medium-term standalone revenue growth range for FY27, with FY1 results not yet out to confirm.

## Medium Term (6 to 12 Months)

- **Space-Based Surveillance opportunity converting to firm orders** [On Track]: Against a disclosed ~Rs1,000 crore Space-Based Surveillance (SBS) opportunity, Centum secured its second complete radar system order for satellite and space-debris tracking (~Rs30 crore, a long-range radar system) during FY26, following the Q3 FY26 statement that "we expect orders to start coming in Q4 and subsequent quarters."
- **GRSE air-navigation program expanding to other shipyards** [Pending]: Having already booked a ~Rs30 crore first order under the GRSE Air Navigation Program (enabling aircraft to land/take off from ships), management expects the ~Rs500 crore, 3-5 year opportunity to extend to other shipyards: "we expect to receive orders from several other shipyards including GSL and HSL in coming quarters."
- **FY27 capex of Rs40-45 crore, weighted toward BTS R&D** [Pending]: Management guided to roughly Rs40-45 crore of capex for FY27, "about 50% or could be slightly higher on the BTS segment in terms of the R&D capabilities."
- **Semiconductor-equipment anchor customer ramp continuing** [On Track]: Against an analyst's ~USD30 million annual revenue target over 2-3 years from Centum's anchor semiconductor-equipment customer, management said it is "progressing quite well... broadly in line with our expectations," with discussions begun (still preliminary) with additional semiconductor customers.

## Long Term (1+ Years)

- **HAL AESA radar (UHM platform) order confirms an earlier L1 bid, full program runs to FY30/31** [Delivered]: At the Q3 FY26 call, Centum was declared L1 bidder for a ~Rs700 crore radar program for a major helicopter platform over 5-6 years. This converted into a confirmed order — the HAL AESA Radar for the UHM platform, disclosed at Rs570+ crore total — split into a development phase (~Rs66-67 crore, ~2 years) and a production phase (~Rs500+ crore) executed through FY30/31. Only the order win itself is delivered; the bulk of the value (the production phase) remains ahead.
- **Standing 25-30% medium-term standalone revenue growth target** [On Track]: Reiterated at both the Q3 and Q4 FY26 calls; FY26 actual standalone revenue grew 25.4% YoY, at the low end of this range. "In the medium-term, we continue to work towards a 25% to 30% growth rate... we feel we are continuing along those lines."
- **India ESDM platform and Semiconductor Mission 2.0 as multi-year structural tailwinds** [Pending]: Management frames the India ESDM sector opportunity as multi-year and structural, citing India Semiconductor Mission 2.0 policy support and global semiconductor supply-chain diversification toward India as key demand drivers for the EMS business, alongside continuing Make-in-India defence indigenization for the BTS business.

## Marquee & Niche Customers

- **Hindustan Aeronautics Limited (HAL):** Awarded the AESA Radar program for the UHM platform (Rs570+ crore full lifecycle value) — described by management as "a significant validation of our capability in complex radar systems." Centum delivers a full turnkey radar system to HAL under this program. (Q4 FY26 concall)
- **Garden Reach Shipbuilders & Engineers (GRSE):** A new strategic partnership (first order ~Rs30 crore) for an air-navigation system enabling aircraft to land on/take off from naval ships — Centum's "entry into mission-critical air navigation systems." Management expects this relationship to extend to other Indian shipyards (targeting MDL, GSL, HSL). (Q3 FY26 concall)
- **A global semiconductor-equipment OEM (anchor customer, not named):** A ramping EMS relationship management describes as its key growth driver in the semiconductor-equipment segment, with discussions underway (preliminary) with additional semiconductor customers. (Q3/Q4 FY26 concalls)
- **A defence PSU customer for a satellite/space-debris-tracking radar** (not named): A second complete radar system order (~Rs30 crore), part of the broader ~Rs1,000 crore Space-Based Surveillance opportunity Centum is pursuing.

No top-10 or single-customer revenue-concentration percentage was disclosed in the sources reviewed. Management does disclose that Defence and Aerospace revenue and orders flow through both the BTS and EMS business models, with BTS "almost entirely defense and space."

**Customer's own guidance, independently checked:** No independently disclosed capacity or demand guidance specific to Centum was found from HAL, GRSE, or the anchor semiconductor customer in the sources reviewed (HAL and GRSE are public-sector shipbuilders/defence PSUs that do not typically disclose supplier-level plans; the semiconductor customer is unnamed).

## Capex, Milestones & Certifications Timeline

| Date/Horizon            | Milestone                                                                                                                                                                  | Status                                     | Amount                                                        | Source                                |
|-------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|---------------------------------------------------------------|---------------------------------------|
| Q3 FY26 (by Dec 2025)   | Groundbreaking completed at KIADB Aerospace Park, Bengaluru — new dedicated facility for systems integration and capability enhancement                                    | Achieved                                   | Not separately disclosed                                      | Q3 FY26 concall/investor presentation |
| FY26                    | "SAMAR Maturity Level 5" (highest level) certification achieved — enables participation in defence tenders for safety-critical, mission-critical and non-critical projects | Achieved                                   | —                                                             | Q4 FY26 investor presentation         |
| FY26                    | Awarded "Committed" badge on EcoVadis independent ESG rating platform                                                                                                      | Achieved                                   | —                                                             | Q4 FY26 investor presentation         |
| Q3 FY26 (Feb 2026)      | Declared L1 bidder for HAL radar program (subsequently confirmed as the UHM AESA Radar order)                                                                              | Achieved (bid); order confirmed by Q4 FY26 | ~Rs700cr program value (preliminary)                          | Q3 FY26 concall                       |
| FY26                    | HAL AESA Radar (UHM platform) order confirmed                                                                                                                              | Achieved                                   | Rs570+cr total (development ~Rs66-67cr; production ~Rs500+cr) | Q4 FY26 concall/investor presentation |
| Q4 FY26 (by March 2026) | Canadian operations discontinued                                                                                                                                           | Achieved                                   | —                                                             | Q4 FY26 concall                       |
| Q1 FY27                 | Canada wind-up proceedings commence                                                                                                                                        | Planned                                    | —                                                             | Q4 FY26 concall                       |

| Date/Horizon | Milestone                                                                                                                            | Status              | Amount                         | Source                                  |
|--------------|--------------------------------------------------------------------------------------------------------------------------------------|---------------------|--------------------------------|-----------------------------------------|
| March 2026   | Centum T&S (France) enters Redressement Judiciaire                                                                                   | Achieved            | —                              | Q4 FY26 concall/investor presentation   |
| By July 2026 | French subsidiary divestment expected to be substantially concluded (court-approved plan: MBDA France + SII acquire main activities) | Planned/in progress | No proceeds expected to Centum | Q4 FY26 concall; MBDA/press disclosures |
| FY27         | Capex plan, ~50%+ weighted to BTS R&D capabilities                                                                                   | Planned             | Rs40-45cr                      | Q4 FY26 concall                         |

## Financial Performance Summary

Consolidated, last 5 fiscal years (screener.in). Note: FY26 figures reflect Centum's restatement of prior periods to a "continuing operations" basis following the Canada/France discontinuation — the apparent FY26 revenue decline is a consolidation-scope effect (loss-making overseas units carved out), not a contraction in the core business, which grew strongly on a standalone basis (see below).

| FY   | Revenue (INR cr) | YoY Growth | Op. Profit Margin (OPM) | PBT (INR cr) | PAT (INR cr) | PAT Margin |
|------|------------------|------------|-------------------------|--------------|--------------|------------|
| FY22 | 780              | —          | 9.0%                    | (52)         | (53)         | -6.8%      |
| FY23 | 923              | +18.3%     | 8.2%                    | 12           | 7            | 0.8%       |
| FY24 | 1,091            | +18.2%     | 7.9%                    | 8            | (3)          | -0.3%      |
| FY25 | 1,155            | +5.9%      | 8.4%                    | 14           | (2)          | -0.2%      |
| FY26 | 953              | -17.5%     | 14.2%                   | (38)         | (52)         | -5.5%      |

For contrast, standalone (continuing India business only, excluding all overseas subsidiaries) FY26 revenue was Rs973 crore, up 25.4% YoY, with EBITDA of Rs121 crore (+28.4% YoY, 12.42% margin) and standalone PAT before exceptional items and tax of Rs100 crore (+62.7% YoY). Standalone reported PAT was Rs(117.1) crore after a Rs203 crore one-time exceptional charge (impairment of overseas investments and related provisions) that does not recur.

## Segment-wise Performance

Centum reports two standalone business lines — Build-to-Specification (BTS) and Electronic Manufacturing Services (EMS) — plus, until FY26, an overseas Engineering R&D (ER&D) segment now being discontinued. Precise year-by-year segment revenue figures are disclosed only as bar charts in the investor presentation and could not be reliably read off as exact numbers; the figures below are the specific numbers management stated verbally or in text on the concalls, which are unambiguous:

| Metric                                                                            | BTS                                                            | EMS                                                              |
|-----------------------------------------------------------------------------------|----------------------------------------------------------------|------------------------------------------------------------------|
| FY26 standalone revenue growth (YoY)                                              | +37%                                                           | +21%                                                             |
| Typical EBITDA margin profile                                                     | ~20% (management: "20% to 25%" for new systems-level programs) | ~9-11% (management: "hovers somewhere in the range of 10%, 11%") |
| Typical ROCE                                                                      | Not separately disclosed                                       | ~20-25% (lower capital intensity than BTS)                       |
| Share of order book (analyst-stated, ~FY26 year-end, not corrected by management) | >50% of order book by value                                    | Remainder                                                        |
| Share of standalone revenue (analyst-stated, unchallenged)                        | ~28%                                                           | ~72%                                                             |

Total standalone order book closed FY26 at approximately Rs1,645 crore (+22.7% YoY); of this, the BTS-specific order book carried into FY27 was described as "close to... INR 800-odd crores." BTS order book has grown 2.3x over the last 3 years (32% CAGR); the entity-level order book grew 1.7x over the same period (20% CAGR).

## Order Book

| As-of Date                    | Order Book (INR cr) | Basis      | Composition                                                                                                                                               | Source                        |
|-------------------------------|---------------------|------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|
| 31 March 2026 (FY26 year-end) | ~1,645              | Standalone | BTS: ~Rs800cr carried into FY27 (per concall Q&A); remainder EMS. >50% of order book by value is BTS per an analyst statement not corrected by management | Q4 FY26 press release/concall |

A same-period order **inflow** figure was also disclosed: standalone BTS order bookings for FY26 were approximately Rs400-470 crore (management: "the orders that we could close and book and report was only about INR470 crores roughly"), with some spillover of expected orders (~Rs100-150cr) pushed into FY27 Q1/Q2.

## Manufacturing Locations & Physical Assets

| Location                                                           | Owned/Leased                                                                                                                                                             | What it houses                                                                                              | Source                                |
|--------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|---------------------------------------|
| KHB Industrial Area, Yelahanka New Town, Bangalore, Karnataka      | Registered office/existing facility                                                                                                                                      | Corporate headquarters and core BTS/EMS manufacturing                                                       | Company filings (letterhead)          |
| KIADB Aerospace Park, Bengaluru (new facility)                     | Newly built (groundbreaking completed Q3 FY26)                                                                                                                           | Dedicated systems integration and capability-enhancement facility for critical defence & space technologies | Q3 FY26 concall/investor presentation |
| Écully, Moirans, Palaiseau (France — Centum T&S)                   | Formerly Centum's subsidiary; main activities acquired by MBDA France (Écully/Moirans/Palaiseau) and SII (Toulouse/Belgium sites) under a court-approved plan, June 2026 | Electronic engineering and test-bench design (over 200 employees transferred)                               | MBDA/press disclosures, June 2026     |
| Canada (Centum subsidiary, city not disclosed in sources reviewed) | Operations discontinued Q4 FY26; wind-up from Q1 FY27                                                                                                                    | Formerly EMS/engineering operations                                                                         | Q4 FY26 concall                       |
| UK (Centum Electronics UK Limited)                                 | Net worth erosion disclosed; book value of investment exceeds net worth                                                                                                  | Not detailed in sources reviewed                                                                            | FY26 results disclosure               |

## Capacity Utilization & Headroom

No capacity utilization percentage, nor the installed-capacity/units-produced inputs needed to derive one, was disclosed in any source reviewed (concalls or investor presentations). This section is included per the framework's requirement to check for utilization data, and states explicitly that none was found rather than estimating one.

## Total Addressable Market (TAM)

Centum discloses TAM by specific programme/opportunity rather than one blended industry figure:

- **Space-Based Surveillance (SBS):** ~Rs1,000 crore opportunity, with orders beginning to convert in FY26 and expected to continue "in Q4 and subsequent quarters" (as guided at the Q3 FY26 call).
- **GRSE Air Navigation program:** ~Rs500 crore opportunity over 3-5 years, expected to extend beyond GRSE to other Indian naval shipyards (MDL, GSL, HSL).

- **HAL AESA Radar (UHM platform):** Rs570+ crore full-lifecycle value, already confirmed as an order (see Long Term outlook).
- **India ESDM sector (broader, company-level framing):** Joint Managing Director Nikhil Mallavarapu has framed the addressable India ESDM sector opportunity at Rs7-8 lakh crore by 2030, growing at a 20-25% CAGR — a company-level market-sizing statement rather than a segment-specific TAM, cited here as context for the standing 25-30% standalone growth target above.

## Valuation — Forward PE

| Input              | Value        | Source/Basis                                                                                                                                                                                                                             |
|--------------------|--------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Revenue guidance   | Rs1,241cr    | FY26 standalone revenue (Rs973cr) grown at the midpoint (27.5%) of management's guided 25-30% medium-term standalone growth range                                                                                                        |
| PAT margin used    | 8.86%        | Assumed — trailing FY26 standalone PAT margin before exceptional items (PBT before exceptional items Rs100.4cr less ~14.1% effective tax rate); management did not give explicit PAT margin guidance, only a 13-15% EBITDA margin target |
| Shares outstanding | 1.474cr      | Per company disclosure (Q4 FY26 investor presentation)                                                                                                                                                                                   |
| Forward EPS        | Rs74.59      | Revenue guidance × margin ÷ shares                                                                                                                                                                                                       |
| Price              | Rs3,648      | screener.in / Trendlyne, 10 Jul 2026                                                                                                                                                                                                     |
| <b>Forward PE</b>  | <b>48.9x</b> | Price ÷ Forward EPS                                                                                                                                                                                                                      |

Forward PE of 48.9x is arithmetic on management's own medium-term standalone growth range and a trailing-margin assumption (not a management-guided margin) — it is not a valuation call.

## Industry Tailwinds / Headwinds

### Tailwinds

- **Record India ESDM and semiconductor policy push:** The Union Budget 2026-27 introduced India Semiconductor Mission 2.0 (Rs1,000 crore initial FY27 outlay), building on the first ISM's 10 approved projects worth a cumulative Rs1.6 trillion — a direct tailwind for Centum's EMS semiconductor-equipment customer base. (Government budget disclosures, as reported)
- **Defence sector growth and capex:** ICRA has assigned a positive outlook to the broader Indian defence sector, and India's FY26-27 defence budget capital outlay rose materially year-on-year — supportive of Centum's BTS pipeline across radar, space, and naval navigation programmes. (ICRA press release; government budget disclosures)
- **Large peer order momentum confirms sector-wide demand:** Bharat Electronics Limited (BEL) — a much larger listed peer in the same defence-electronics space — secured Rs1,081 crore of fresh orders since late May 2026 and carries an order book of Rs73,882 crore as of April 2026, independent evidence that the underlying defence-electronics demand environment Centum is citing is real and sector-wide, not company-specific optimism. (Company disclosures, as reported)

### Headwinds

- **Sector-wide execution bottleneck, not a Centum-specific problem:** Sector commentary describes India's defence sector as "order book-loaded" and needing an "execution pick-up" — a gap between order inflows and revenue recognition caused by delayed clearances and milestone-based billing — consistent with Centum's own BTS order-booking spillover into FY27. (Business Standard, 8 July 2026)
- **Component supply-chain tightness, especially copper-clad laminate and memory:** Management flagged rising lead times for PCB inputs (copper-clad laminate) and memory chips, the latter partly due to AI-data-center-driven



global demand: "supply chain bottlenecks are clearly an emerging theme in the EMS part of the business." (Q4 FY26 concall)

- **West Asia conflict — contained so far:** Management noted only short-term logistics delays from the Middle East conflict at the end of Q4 FY26, with no major supply disruption to date, though this bears monitoring. (Q4 FY26 concall)

## Technical Snapshot

*(As of 10 July 2026 — treat as directional only and refresh before relying on it.)*

- Price: Rs3,647.60, trading above both the 50-day SMA (Rs3,339.4) and 200-day SMA (Rs2,727.5).
- RSI (14-day): 56.6 — neutral (mid-range), neither overbought nor oversold; Money Flow Index similarly neutral at 56.1.
- 52-week range implied by a 78.44% gain from the 52-week low; the Q4 FY26 investor presentation separately disclosed a 52-week high/low of Rs3,066.00/Rs1,310.30 as of 31 March 2026 — note the stock has moved further since (to Rs3,647.60), above that March 52-week high, so the range shown there is now stale.

## Promoter / Governance Track Record

**Guidance reliability:** Of the guidance items tracked over the last two quarters, one clear **miss** stands out: management's Q3 FY26 assessment that it did "not expect any further material financial impact" from the French subsidiary beyond what had already been recognized did not hold — further impairments and operating losses were recognized in Q4 FY26 as the French subsidiary was reclassified to discontinued operations. Separately, FY26 standalone EBITDA margin of 12.42% came in **below** management's guided 13-15% range, though management reiterated the same range for FY27. Against this, the standing 25-30% medium-term standalone revenue growth target remains **on track** (FY26 actual: +25.4%), and the L1-bid-to-confirmed-order progression on the HAL radar program **delivered** as expected.

**Promoter shareholding trend:** Promoter holding has declined from 58.80% (March 2023) to 58.79% (March 2024), 51.52% (March 2025), and 46.88% (March 2026) — a roughly 12-point decline over three years, mechanically explained in large part by the Rs210 crore QIP completed in March 2025 (see Promoter Fund Raises below), which diluted all existing shareholders including promoters. No pledge of promoter shares was disclosed in the sources reviewed.

**Auditor/compliance:** No auditor qualification or delayed filing was identified in the sources reviewed for this report.

**Promoter Fund Raises:** One institutional fund raise is on record — a Rs210 crore Qualified Institutional Placement completed in March 2025, allotted to institutional investors (not promoter/promoter-group). This materially improved the company's capital structure: consolidated total-outside-liabilities-to-tangible-net-worth (TOL/TNW) improved from 6.99x (March 2024) to 2.57x (March 2025), a key driver cited by CARE Ratings for its subsequent outlook upgrade. No preferential equity, warrants, NCDs/debentures, term loans, or promoter loans/guarantees were found on record.

### Credit Rating Snapshot:

| Agency | Instrument                             | Rating  | Outlook  | Date        | Action                                  |
|--------|----------------------------------------|---------|----------|-------------|-----------------------------------------|
| CARE   | Bank facilities (Rs267.13cr + Rs166cr) | BBB/A3+ | Stable   | 16 Jan 2025 | Reaffirmed                              |
| CARE   | Bank facilities                        | BBB/A3+ | Positive | Aug 2025    | Outlook revised to Positive from Stable |
| CRISIL | Bank facilities, Rs399.7cr             | BBB/A3+ | Stable   | 8 Oct 2025  | Reaffirmed                              |
| CRISIL | Bank facilities, Rs399.7cr             | BBB/A3+ | Positive | 8 May 2026  | Outlook revised to Positive from Stable |

**No downgrade or negative/watch-negative outlook is currently in force from either agency** — both CARE and CRISIL have moved their outlook to Positive over the past year, an independent, third-party corroboration of the improving standalone-business trajectory described above, even as both agencies also flag the working-capital-intensive nature of the business and (until FY26) the drag from underperforming overseas subsidiaries.

**Legal & Litigation:** One matter is on record, currently ongoing:

| Case                                                                 | Forum                                              | Type        | Amount (INR cr) | Status  |
|----------------------------------------------------------------------|----------------------------------------------------|-------------|-----------------|---------|
| Income tax demand, AY2018-19 to AY2021-22 and AY2023-24 to AY2024-25 | Commissioner of Income-Tax (Appeals)-27, New Delhi | Tax dispute | 84.89           | Ongoing |

Disclosed via BSE announcement on 31 January 2026, the company states the demand "suffers from mistakes apparent from records" and is pursuing rectification applications and/or appeals, expecting the demand to be substantially reduced; a related, smaller appellate order was separately expected to reduce a tax demand by approximately Rs4.57 crore (disclosed mid-January 2026). No other litigation was found in the sources reviewed.

## Key Risks

- **Overseas subsidiary wind-down execution risk, with one assessment already missed:** The French subsidiary's court-supervised process is expected to conclude by July 2026 with no proceeds to Centum, but management's own Q3 FY26 assessment that no further financial impact would materialize proved incorrect once France was reclassified to discontinued operations in Q4 FY26 — a factual instance of guidance not holding, not merely a risk factor.
- **Standalone margin came in below guidance:** FY26 standalone EBITDA margin of 12.42% missed the guided 13-15% range due to EMS product mix; while management reiterates the same target for FY27, this is the second consecutive data point (after the France assessment) where a specific forward statement did not fully hold.
- **Order book-to-revenue execution risk, sector-wide:** Consistent with broader sector commentary on defence-electronics "order book-loaded" companies needing an "execution pick-up," Centum's own BTS order bookings saw spillover from FY26 into FY27, and the bulk of the HAL UHM radar program's value (the production phase) executes only through FY30/31.
- **Component supply-chain tightness:** Rising lead times for copper-clad laminate (PCB inputs) and memory components, partly driven by global AI-data-center demand, could constrain EMS delivery timelines if the trend persists.
- **Customer/platform concentration in BTS:** BTS revenue is "almost entirely defense and space," and a meaningful share of near-term BTS growth is tied to a small number of large, single-customer programmes (HAL UHM radar, GRSE air navigation) — a delay or cancellation at any one PSU customer would have an outsized effect on the segment given its order-book-driven, longer-cycle nature.
- **Ongoing income tax litigation:** An Rs84.89 crore aggregate income tax demand (AY2018-19 to AY2021-22 and AY2023-24 to AY2024-25) remains under appeal; while management expects a substantial reduction, the matter is not yet resolved.

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*Source: Centum Electronics Q3 FY26 (16 Feb 2026) and Q4/FY26 (15 May 2026) earnings concall transcripts and investor presentations, screener.in financial and shareholding data, CARE Ratings press releases (16 Jan 2025; Aug 2025) and CRISIL Ratings rationales (8 Oct 2025; 8 May 2026), BSE corporate announcements (tax demand disclosure, 31 Jan 2026), and third-party industry/technical/press coverage (ICRA, Business Standard, MBDA/press disclosures on the Centum T&S restructuring, Trendlyne, Investing.com) as cited inline. This is a research summary of publicly available management commentary and filings only — not investment advice, a recommendation, or a solicitation to buy, sell, or hold any security. Forward PE shown above is arithmetic on a management estimate, not a valuation call. Conduct independent due diligence and consult a SEBI registered investment advisor before making any financial decision.*